

the biggest income gains—but over 21% for those below the 50th percentile.

The difference between this climbing debt and the debt increase that took place during the 1950s and '60s is that the recent jump started from a high base.

Economist Hyman Minsky described the beginning of debt crises: The moment when people take on more debt than they can service. It's an ugly, painful moment. It's like Wile E. Coyote looking down, realizing he's screwed, and falling precipitously.

Which, of course, is what happened in 2008.

9. Once a paradigm is in place it is very hard to turn it around.

A lot of debt was shed after 2008. And then interest rates plunged. Household debt payments as a percentage of income are now at the lowest levels in 35 years.

But the response to 2008, necessary as it may have been, perpetuated some of the trends that got us here.

Quantitative easing both prevented economic collapse and boosted asset prices, a boon for those who owned them—mostly rich people.

The Fed backstopped corporate debt in 2008. That helped those who owned that debt—mostly rich people.

Tax cuts over the last 20 years have predominantly gone to those with higher incomes. People with higher incomes send their kids to the best colleges. Those kids can go on to earn higher incomes and invest in corporate debt that will be backstopped by the Fed, own stocks that will be supported by various government policies, and so on.

None of these things are problems in and of themselves, which is why they stay in place.

But they're symptomatic of the bigger thing that's happened since the early 1980s: The economy works better for some people than others. Success isn't as meritocratic as it used to be and, when success is granted, it's rewarded with higher gains than in previous eras.